

comes to competing with the feisty milk co-operatives and, in that sense, a measured state-by-state approach is easy to understand. R.S. Sodhi, MD, Gujarat Cooperative Milk Marketing Federation (Amul), says the big attraction is that the organised milk market grows at 12-13 per cent per annum and that too on a base of ₹2.6 lakh crore. "Around half of that comes from just an increase in consumption and the other part comes from a very visible shift from unorganised to organised," he explains. The other insight is how dairy products are now consumed in more centres. Sodhi points to how a large proportion of the offtake would earlier come from the large centres. "Now, the pandemic is seeing a huge demand from semi-urban to rural areas as well. More players coming in only means the procurement price for farmers will increase, with consumers gaining access to more affordable products."

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BEING ACQUISITIVE

"We want to be in high-growth and high-margin categories. The logic is if you win here, you win big," avers Sameer Satpathy. As ITC's Divisional CEO of the personal care products business, he has overseen the success of Savlon, a brand the company acquired in early 2015 along with Shower to Shower from Johnson & Johnson (J&J). With a turnover of just ₹50 crore, Savlon had already changed hands. HUL had an agreement in the late 1990s with J&J to use the brand to sell antiseptic soaps on a royalty basis, before it was called off in early 2000. The consensus among industry trackers was that it was not an area of focus for J&J and there was a need to divest it quickly.

ITC's approach has been to identify a category and a platform to build a strong bulwark. "Oppor-

tunities are always large and our ability lies in expanding any category," says Satpathy. At the time of the buyout, Savlon had a presence in soaps, antiseptic liquid and hand washes, with the brand now extending itself in each of them apart from providing a big push in sanitisers. "Hygiene as a platform was hugely attractive and the need for it will only increase." The peak of the pandemic saw the brand hit a turnover of ₹1,000 crore, with the primary competitors being Dettol and Lifebuoy.

Vinit Bolinjar, Head (Research), Ventura Securities, points towards multinationals such as Nestlé and Unilever that have massive portfolios of brands globally. "For over 200 brands they have, Nestlé has launched barely 10 in India. ITC does not have that kind of luxury and needs to launch brands across categories and price points," he explains. However, he says the cash flow from cigarettes can easily support the FMCG strategy. "There is a certain shrewdness they have demonstrated both on organic and inorganic growth."

He says what makes ITC unique is that it did not go with a product-wise approach and instead, launched many categories simultaneously. "Nestlé, for instance, will launch one from its international portfolio, wait for it to grow and then bring another. Britannia is more focussed on a few things and getting them right." The background in cigarettes is, to his mind, invaluable. "They already have the understanding of building big brands and the intricacies of a supply chain [acquiring tobacco leaves] and creating a high-quality distribution network. It also means they were always a part of the consumer's wallet, and it was only a question of continuing that strategy."

The buyout of Nimyle in mid-



"The entire process of identifying consumer insights has changed and digital allows you to get very focussed insights and make our communication even more effective"

B. SUMANT
EXECUTIVE DIRECTOR, ITC

2018 from Kolkata-based Arpita Agro is another interesting example. A huge player in east India's floor cleaner market, Nimyle (a neem-based product), says Satpathy, was unique and neem could be easily extended. He points out that there is no natural homecare brand in India and that means, "I own the platform." Since the acquisition, Nimyle has launched a vegetable and fruit wash. The personal care portfolio, of course, cuts across other brands such as Charmis, Engage, Fiana and Vivel. Again, in soaps, a highly penetrated segment, the Vivel brand has a 12-13 per